



Advantage Disney Star

Disney Star leads the broadcasting game and has a strong OTT offering

HOTSTAR

has seen revenues surge on the back of the IPL and other major cricketing tournaments of ICC and BCCI

FOR DISNEY

the acquisition of Star gives it a third shot in India. Its earlier attempts in 1993 and in 2004 did not work out

THE RIGHTS

to the IPL are with Disney Star till 2022 and the company is expected to be aggressive in the upcoming round of bidding

DISNEY STAR

is the clear market leader in broadcasting followed by Zee, Sony and Viacom

DISNEY+, THE

streaming service, is what drives valuations globally; that makes Hotstar, the offering in India, very attractive

A change in ownership now has The Walt Disney Company in charge. Understandably, a lot has changed and an important piece is the firm's valuation on Wall Street. Disney is a closely monitored stock and how it gets it right on new media delivery mechanisms is crucial. In that sense, it is not a story of broadcasting anymore, but comes down to how Disney performs in the OTT (or streaming) space. India is a vital cog in Disney's wheel and increasing OTT subscriber numbers is the name of the game today. Within that lies cricket, the sport Indians can't seem to have enough of. Madhavan is in the thick of making huge strategic

decisions over the next few months, which could determine Disney's road map in India for many years.

BURBANK-HEADQUARTERED Disney is a giant in the world of entertainment but India, for a long time, had been a story of misses. It took its baby steps in 1993 through a joint venture with the K.K. Modi Group to create Buena Vista Television, with an intention to launch three channels. That never took off and operations were largely limited to doing advertising sales for other networks. By 2001, the two partners were at loggerheads over

DISNEY STAR

Disney's plan to launch a 100 per cent subsidiary. It was only after the expiry of the joint venture that Disney managed to strike out on its own, and at the end of 2004, launched two kids' channels—Toon Disney and Disney Channel.

Revenue from Indian broadcasting was then dominated by general entertainment and in the next few years, cricket would also take off. In this backdrop, Disney picked up a minority holding in UTV Software, then owned by Ronnie Screwvala, before a complete buyout followed. Now, it had a presence not just in television but also film production, consumer products and interactive. There was a rub, though. This acquisition was not just expensive but hampered by Disney's limited understanding of the Indian film industry. The company was deep in the red for many years and this second innings was a non-starter. Without mass entertainment, the broadcasting bit also had no scale.

Then in June 2018, Disney acquired Murdoch's 21st Century Fox, which, among other businesses, gave it Star India. Of the total deal size of \$71 billion, the value assigned to the Indian part was \$14-16 billion. This came from Star having won the broadcasting rights for the Indian Premier League (IPL) in September 2017 for five years. The outgo was ₹16,348 crore (\$2.55 billion) for this tournament, but then it was cricket—India's most popular sport. The question was how would the new owner view this investment and what lay ahead?

Now, the well-established view is about Disney being conservative and extremely driven by numbers. A project with a high risk quotient will necessarily need to demonstrate a clear path to profitability. That said, Disney had little option but to take the expensive route to